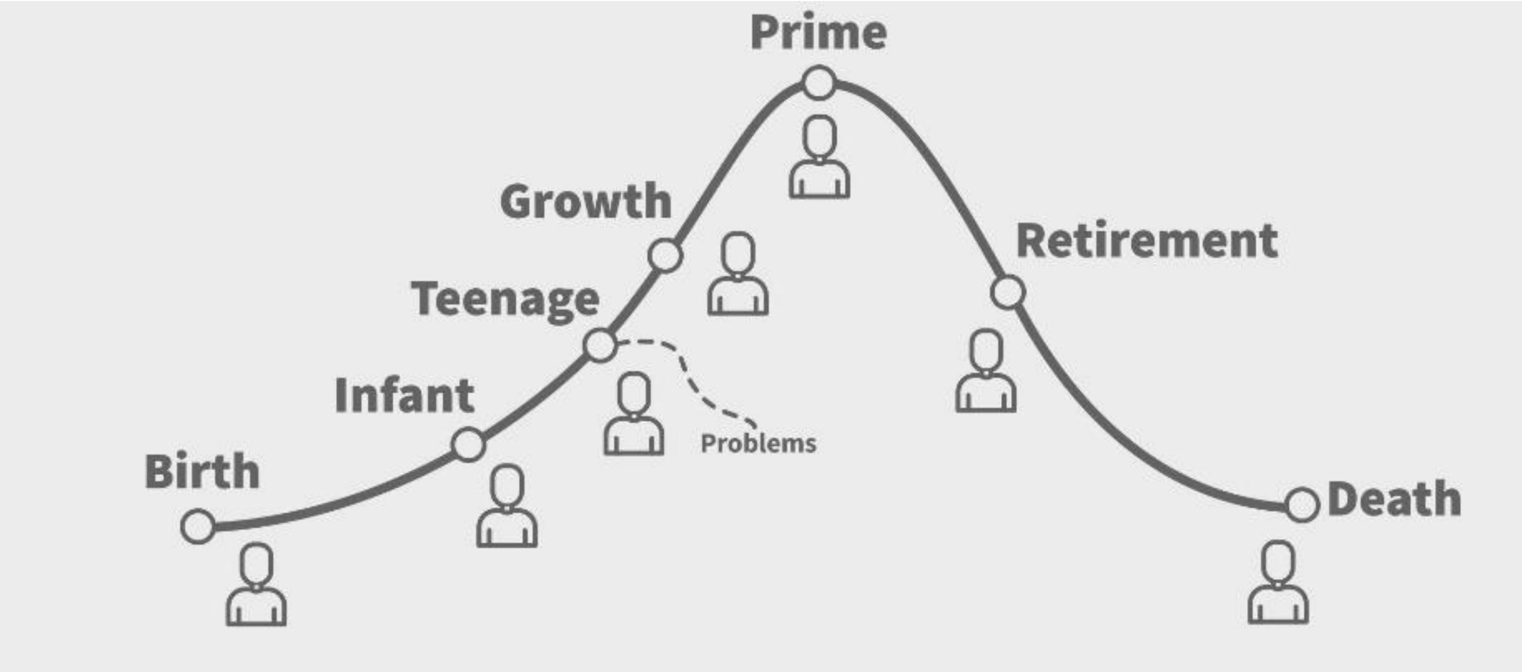
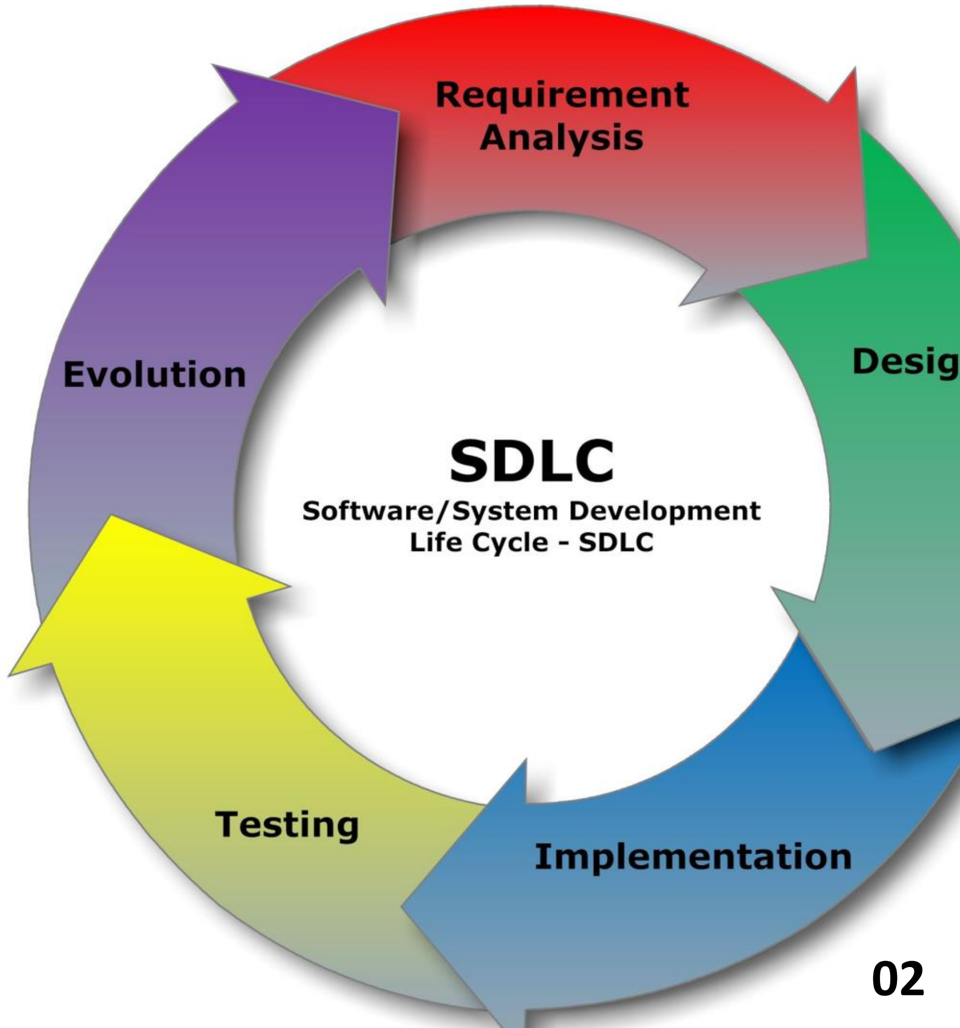
# Life Cycle of a Business

Prepared By :
Ms. M.W.A.M.P. Muthukuda
Lecturer
Department of IDS
Faculty of IT

# Idea of Life Cycle

- Idea of Cycle
- Types of Life Cycles
    - Product Life Cycle
    - Project Life Cycle
    - Business Life Cycle




2

- A business life cycle is a cyclical representation of the stages an average business goes through from seeding to decline and renewal.

- 80% of all businesses will fail in the first 18 months *(Source- Bloomberg);*
  By understanding the different stages of development, you will position your business strongly to be among the 20% that don't.

# Importance of knowing BLC

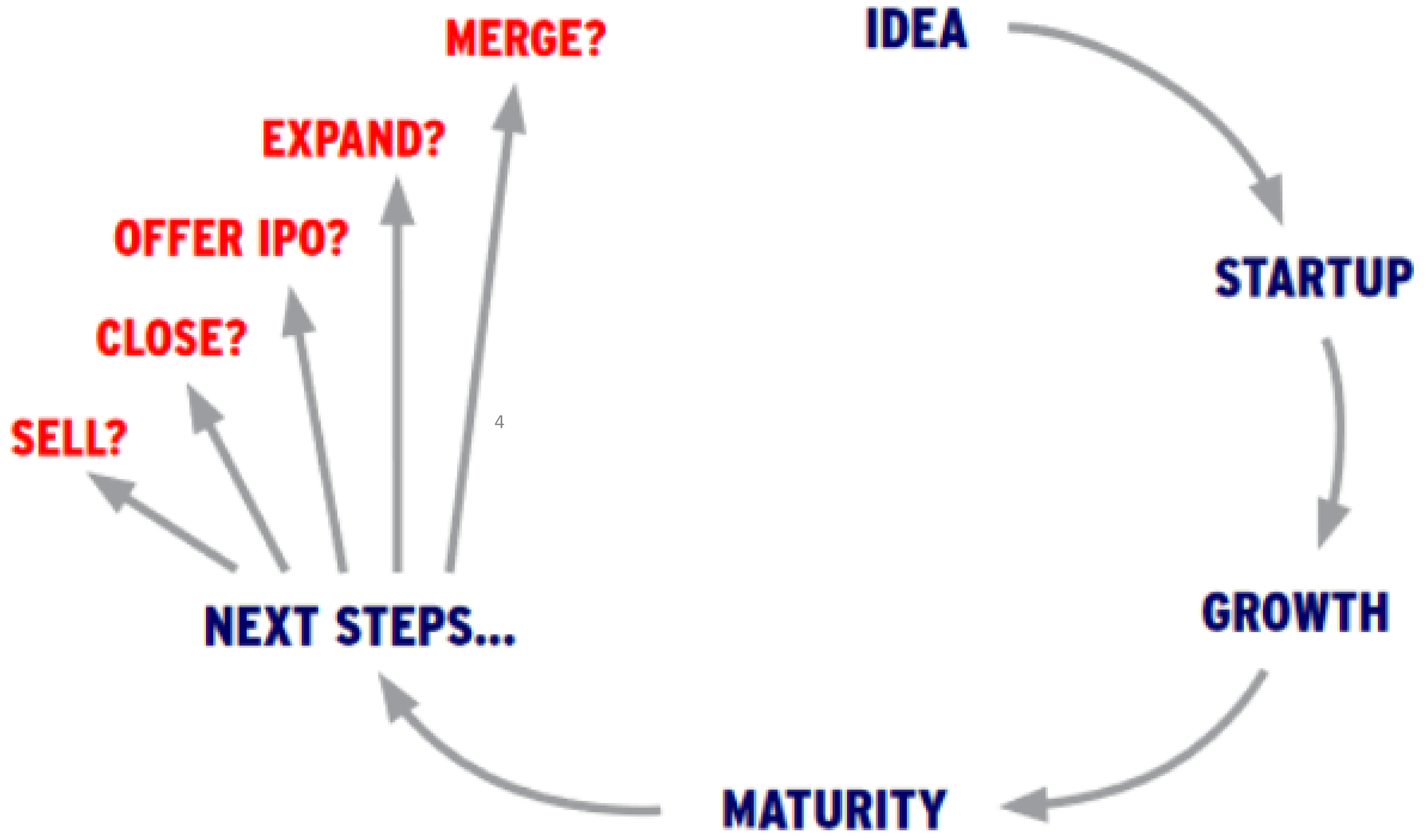
**A business should be able to mention its stage in BLC**

**"It is like knowing your age"**

- Can figure out requirements
  - Owner commitment
  - Proper resource allocation
  - CSR Investment
  - Highest risk factor in the stage
  - What should be the focus of the stage
  - What should be the strategies to survive
  - How should be prepared for the next stage

# Stages in BLC

TRADITIONAL BLC




4

# Stage 01 – Seed (Idea/A problem worth starting a business)

- Business is just a thought
- Birth of business
- Challenges
  - Market acceptance
  - Find the correct niche/segment - Identify a gap in the market or an unaddressed pain that their product or service can fulfill
- Drive by creativity, innovation and risk taking- Focus on matching the business opportunities with best skills, experience, and passion.
- Sources of finance – Cash dependency on family, friends, relatives, government grants, banks

## Man Invents Pot that can Cook two Meals at the Same Time

October 27, 2021


A picture of the man and the pot he innovated

An innovative man who appears to be middle-aged is going viral on social media after an invention of a cooking pot he made for the kitchen was shared online. The man's identity is not disclosed but many people are excited over the fact that he was able to design a locally-made saucepan that has two compartments.

*Source: https://thevaultznews.com*

# Airbnb- The Birth of Air Bed & Breakfast

- Airbnb, a popular online vacation room rental platform with over 4 million hosts and over 54 million active bookers, would present a cheaper option for staying abroad than a typical lodging place, and in theory, would give traveling options to people who otherwise couldn't afford it(budget travelers).
- When founders of Airbnb, Brian Chesky, Nathan Blecharczyk, and Joe Gebbia, first moved to San Francisco, California, they couldn't afford rent for their expensive San Francisco apartment.
- Needing extra money, they rented out their living room bed-and-breakfast style to a few friends who couldn't book a hotel room in time for an event.
- This sparked the idea to create an app that would allow people to find accommodation around the world, using other people's available space – be it a mother-in-law suite, a guest bedroom, or even a couch.


**Read the full story [here]**

# Stage 02 – Start – up

- Company born- Business starts its working as a legal entity
- Founders' vision dominates the daily work
- Production/ service is in operation
- Meet 1st customer

- Challenges
  - Is business on the right track? - "You don't know what you don't know"- The business model might be unproven, the market could be unpredictable, and the competition
  - Being an unknown entity- Attracting customers and convincing them to trust a new brand
  - Little to no profit- Risk of running out of funds before the business can generate a sustainable income

- Focus
  - Establish the customer base
  - Managing human resources by recruiting the best employees

- Sources of finance – Personal savings, family & friends, angel investors, or venture capitalists

# Shark Tank for Innovators

# Stage 03 – Growth

- Company starts to find its feet
- The enterprise expands, market share increases, and profits start to accumulate
  - Strong profits- pass the break-even point
  - Revenue, customers increase. cash flow becomes positive
- New opportunities, issues
- Signals of competition- A disrupter may emerge
- Delegation of work- Hire new employees, **<u>Invest and push</u>** them to take ownership of both internal processes and Client relationships
- Focus on Setting up;
  - Better accounting standards in the company
  - Automation - Management and information systems

# Growth Signals Something Serious

- https://hbr.org/2008/03/when-growth-stalls

- **“When Growth Stalls”**

  By Matthew S. Olson, Derek van Bever and Seth Verry

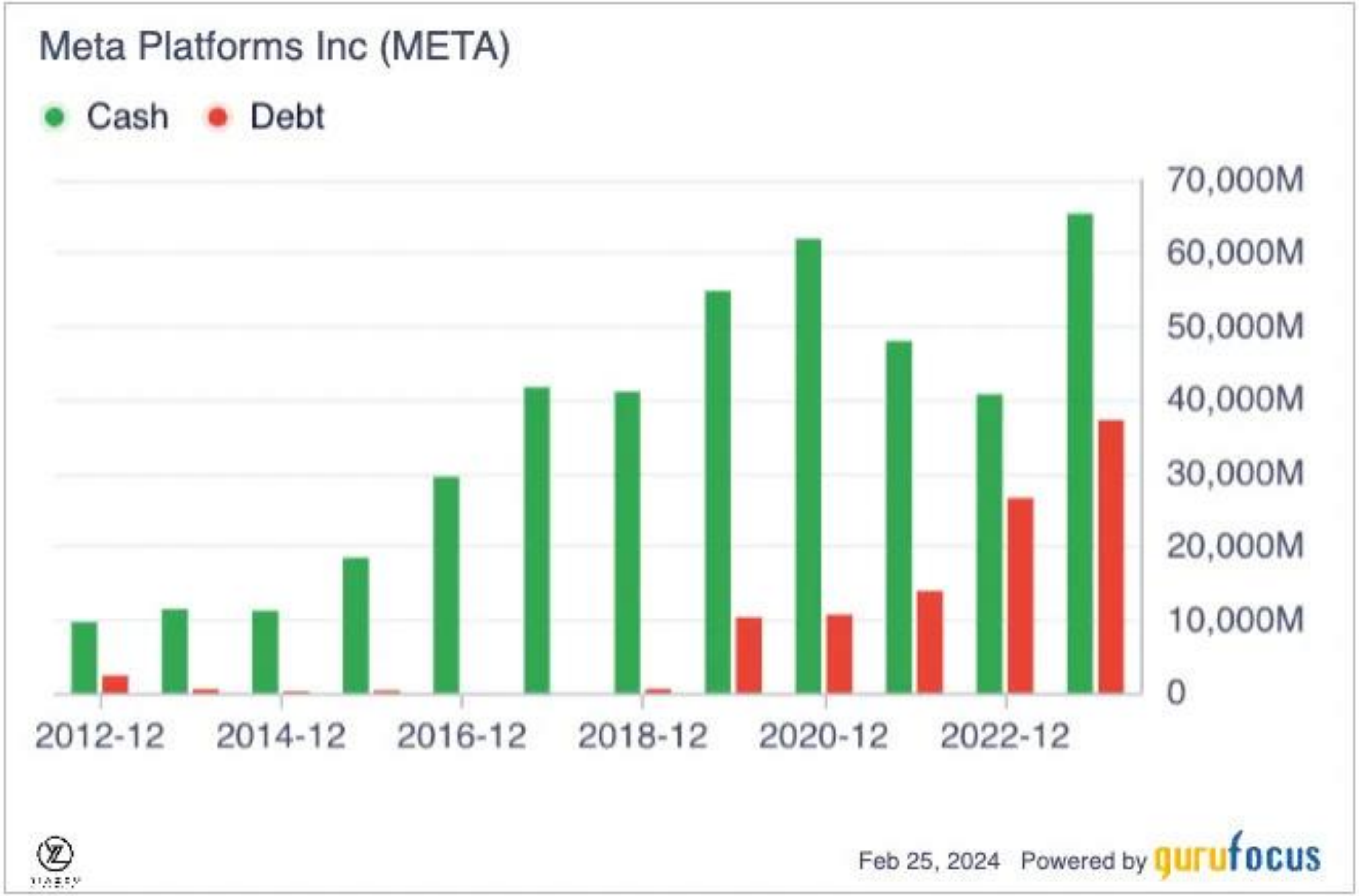
# Stage 05 – Mature

- Business growth cycle comes to a close
  - Stable sales and profits- Slowing demand growth.
  - Eventually sales start to fall. Then at a certain point, profits begin thinning, too
  - Make a decision -"expand or exit?"

- Focus
  - Search new business opportunities, ventures
  - Cutting cost
  - Ways to sustain cash flows

- Sources of Finance – Suppliers, owners, banks

# Meta's Growth Story Continues




- Meta family of Apps- Social media platforms, including Facebook, Instagram, WhatsApp and others contribute the highest revenues and profits
- Meta believes that AI-powered technologies will enable the next generation of AR, MR and VR to be much more powerful, opening up the scope for exciting innovations in **Reality Labs**
- Acquisitions of Facebook have led to the birth of more Facebook products and features that have helped users to keep glued to Facebook

# Lego lost sight of their customer


- LEGO was founded in 1932 and has since become one of the world's leading toy manufacturers.
- Lego faced stiff competition from emerging video games, captivating the attention of the younger generation.
- In the early 2000s, LEGO was facing financial difficulties and declining sales. in 2004, they had debts nearing $1 billion and saw sales slump 40% in just two years.
- LEGO's leadership acknowledged that the company was failing and needed to change.
  - Customer Centric- Invested in market research and listened to its customers to learn what they wanted from the brand.
  - Simplifying the Product line and focusing on its core products.
  - Digital transformation, by launching lego.com.

- By 2005 stock turnover had increased by 12%, and in 2005 Lego had recorded its first profits - ∈ 61 million - since 2002.

*Source: https://www.anderssorman-nilsson.com/*

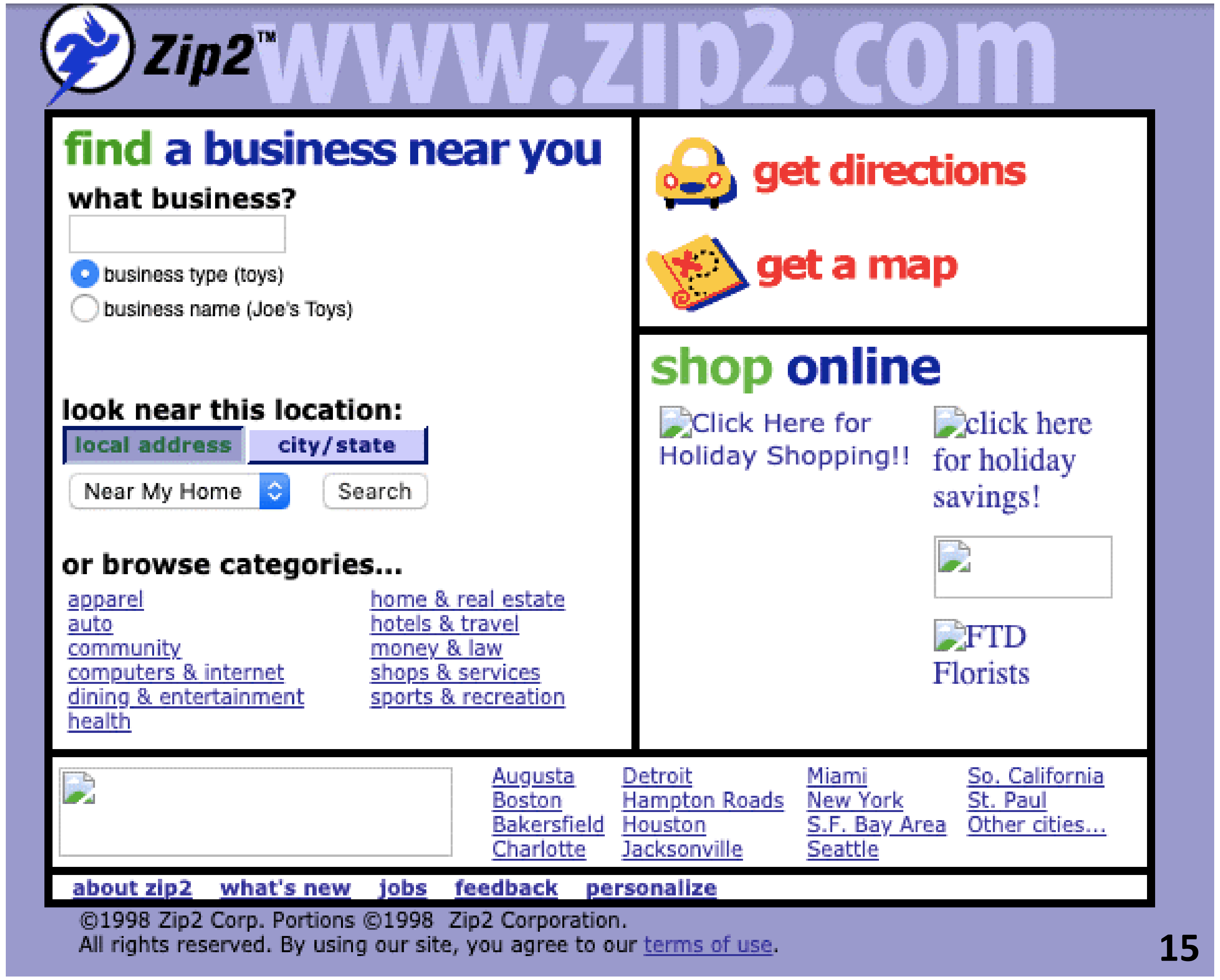
# Stage 06 – Exit  "Sell the business when it's worth to potential buyers"

- Sell your business or shutting down
- Focus
    - Get proper realistic valuation of business
    - Set up legal buy – sell agreement

- Why Founders Are Afraid to Talk About Exit Strategies?
    - Optimism bias
        - Most entrepreneurs know that the chances of success for any startup are slim, yet they don't consider themselves to be subject to those statistics.
        - Can't make proper strategic plans and overcome the obstacles in their path without a realistic view of their future prospects and the nature of those obstacles.
    - Present bias
        - Strategic planning is considered a luxury.
        - Tend to show a bias towards the present, prioritizing near-term outcomes over long-term results and significantly discounting future risks and rewards. Spent little to no time on creating an exit strategy.

# Elon Musk leave Zip2 and start PayPal?

- In 1995, Elon Musk co-founded the company Zip2, which provided business directories and maps to newspapers.
- In 1999, just four years later he sold the company to Compaq for $307 million.
- Later, in 1999, Musk co-founded PayPal, an online payment system that allowed individuals and businesses to securely transfer funds electronically.
- Sold PayPal to eBay for $1.5 billion in 2002.



# Why It's Good to Sell your Company

# Can traditional BLC analysis apply for small businesses?

***"The Five Stages of Small-Business Growth"***

**By Neil C. Churchill and Virginia L. Lewis**

Read the article

- Traditional BLC force to/think;
  - Should go through all stages
  - Should mean to end/exit

- Stages are identified based on size of the business:

  Size is determined by sales, number of employees and DISREGARD value added (SMEs survive due to value additions), number of locations, complexity of product line, and rate of change in products or production technology

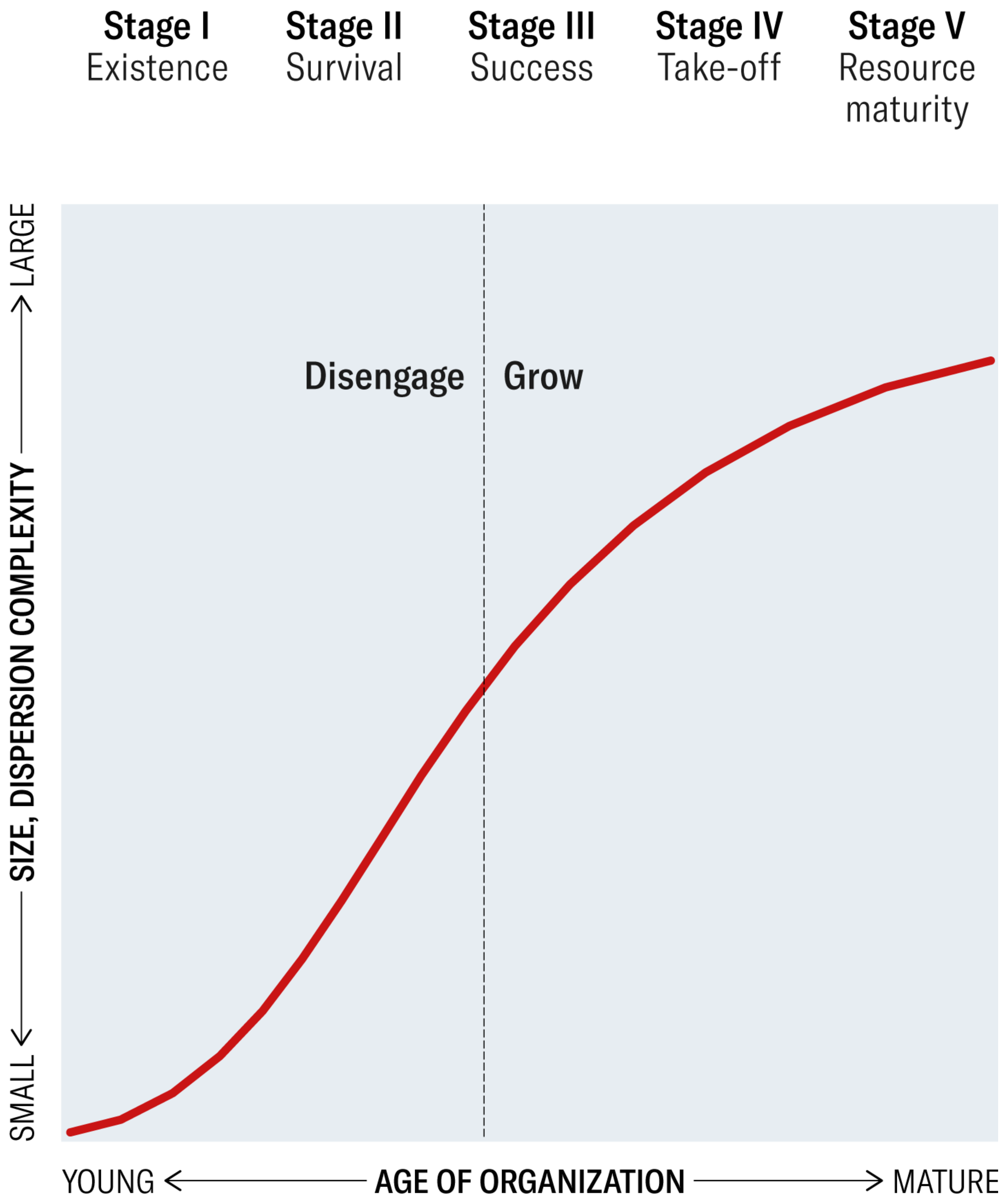
- SMEs/Startups is heavily influenced by owners: Role of owner

  In the early stages, the owner's ability to do the job gives life to the business. Small businesses are built on the owner's talents: the ability to sell, produce, invent, or whatever.

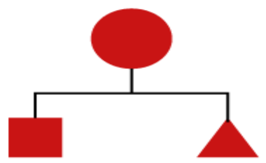
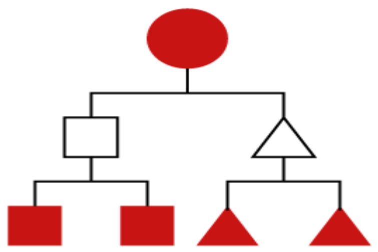
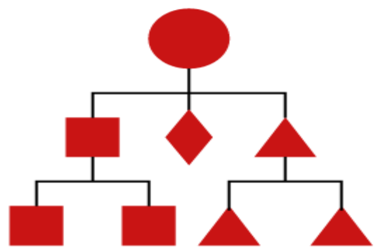
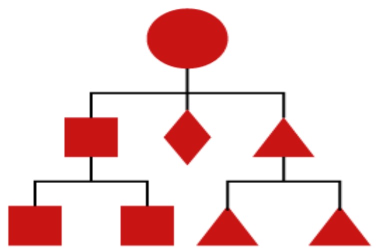
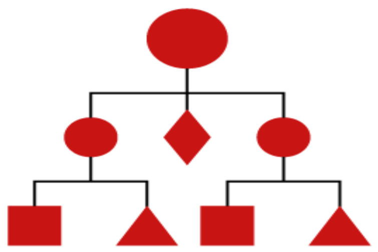
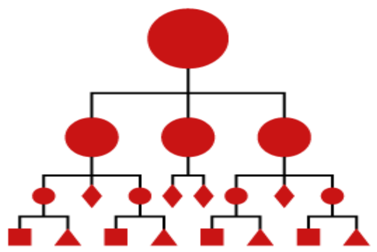
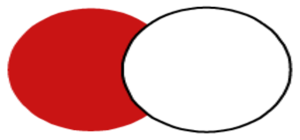
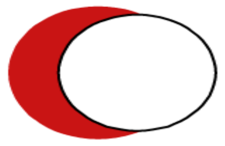
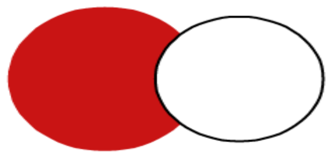
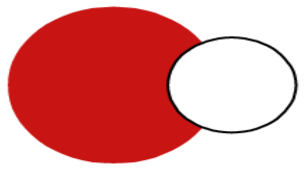
# Can traditional BLC analysis apply for small businesses?

- Each stage is described by five management factors:
    - Managerial style
    - Organizational structure
    - Extent of formal systems
    - Major strategic goals
    - Owner's involvement in the business.

## Exhibit 2: Growth Stages



# Exhibit 3: Characteristics of Small Business at Each Stage of Development

| | **Stage I** Existence | **Stage II** Survival | **Stage III-D** Success-Disengagement | **Stage III-G** Success-Growth | **Stage IV** Take-off | **Stage V** Resource maturity |
|---|---|---|---|---|---|---|
| MANAGEMENT STYLE | Direct supervision | Supervised supervision | Functional | Functional | Divisional | Line and staff |
| ORGANIZATION |  |  |  |  |  |  |
| EXTENT OF FORMAL SYSTEMS | Minimal to nonexistent | Minimal | Basic | Developing | Maturing | Extensive |
| MAJOR STRATEGY | Existence | Survival | Maintaining profitable status quo | Get resources for growth | Growth | Return on investment |
| BUSINESS AND OWNER* |  |  |  |  |  |  |

*Smaller circle represents owner. Larger circle represents business.

HBR

# Stage I – Existence

- Main problems: obtaining customers and delivering the product or service contracted for
- Key questions are :

  I. Can we get enough customers, deliver our products, and provide services well enough to become a viable business?

  II. Can we expand from that one key customer or pilot production process to a much broader sales base?

  III. Do we have enough money to cover the considerable cash demands of this start-up phase?

- The business is a simple one—the owner does everything and directly supervises subordinates. The owner is the business, performs all the important tasks, and is the major supplier of energy, direction, and, with relatives and friends, capital.

- Systems and formal planning are minimal to nonexistent. The company’s strategy is simply to **remain alive.**

  Ex: newly started restaurants, retail stores, high-technology manufacturers that have yet to stabilize either production or product quality.

- Many such companies never gain sufficient customer acceptance or product capability to become viable. In some cases, the owners close the business when the start-up capital runs out and, if they’re lucky, sell the business for its asset value. In some cases, the owners cannot accept the demands the business places on their time, finances, and energy, and they quit. Those companies that remain in business become Stage II enterprises.

# Stage II – Survival

- The business has demonstrated that it is a workable business entity.
  - It has enough customers and satisfies them sufficiently with its products or services to keep them.
- Key problem: From mere existence to the relationship between revenues and expenses.

- The main issues are:
  - In the short run, can we generate enough cash to break even and to cover the repair or replacement of our capital assets as they wear out?
  - Can we, at a minimum, generate enough cash flow to stay in business and to finance growth to a size that is sufficiently large, given our industry and market niche, to earn an economic return on our assets and labor?

- The business is still simple: limited number of employees supervised by a sales manager or a general foreman. Neither of them makes major decisions independently, but instead carries out rather well-defined orders of the owner.

- Systems development is minimal. The major goal is still survival, and the owner is still synonymous with the business.
- May reach to next stage or remain longer in this stage earning marginal returns on invested time and capital and eventually go out of business when the owner gives up or retires.

# Stage III – Success

- The key decision to make;

  Whether to exploit the company's accomplishments and expand or keep the company stable and profitable, providing a base for alternative owner activities.

- Key issue:

  Whether to use the company as a platform for growth or as a means of support for the owners as they completely or partially disengage from the company

- Does the owner wish to commit his or her time and risk the accumulated equity of the business in order to grow or instead prefer to savor some of the benefits of success?

# Stage III – Success

## ❑ Sub-stages:

➢ **Success-Disengagement**

- ❑ Company has attained true economic health, has sufficient size and product-market penetration to ensure economic success, and earns average or above-average profits. Cash is plentiful and the main concern is to avoid a cash drain.
- ❑ The owners are much apart from the business.
- ❑ The company can stay at this stage indefinitely, provided environmental change does not destroy its market niche or ineffective management reduce its competitive abilities.

➢ **Success-Growth:**

- ❑ The owner consolidates the company and <u>direct resources for growth</u>. All borrowing powers are directed to take risks hoping a financing growth.
- ❑ Deep/extensive strategic planning is needed, thus owners fully engaged with the business.
- ❑ If succeeded in this sub-stage, will eventually move to next and if not, reverse to survival

# Stage IV – Take-off

- "Rapid growth" or "acceleration" stage

- In this stage the key problems are how to grow rapidly and how to finance that growth. The most important questions, then, are in the following areas:

  - Delegation- Owner delegate responsibility to others
    - Key managers must be very competent to handle a growing and complex business environment
    - Owner and the business have become reasonably separate

  - Cash- Cash. Will there be enough to satisfy the great demands growth brings
    - Owner needs to tolerate a high debt-equity ratio
      - How much debt a company has compared to its assets.
      - Will there be enough to satisfy the great demands growth brings and a cash flow that is not eroded by inadequate expense controls or ill-advised investments brought about by owner impatience?

# Stage V – Resource Maturity

- Concerns:
  - To consolidate and control the financial gains brought on by rapid growth
  - To retain the advantages of small size, including flexibility of response and the entrepreneurial spirit
- The management is decentralized, adequately staffed, and experienced. Has the staff and financial resources to engage in detailed operational and strategic planning.
- Systems are extensive and well developed and the owner and the business are quite separate.
- The company has the advantages of size, financial resources, and managerial talent. If it can preserve its entrepreneurial spirit, it will be a powerful force in the market. If not, it may enter a stage of ossification/conformity

# Ossification/conformity

Ossification is characterized by a lack of innovative decision making and the avoidance of risks.

This is common in large corporations whose sizable market share, buying power, and financial resources keep them viable until there is a major change in the environment. Unfortunately for these businesses, it is usually their rapidly growing competitors that notice the environmental change first.



***"How Perspective Swaps Can Unlock Organizational Change"***

HBR, By Rebecca Hinds

# Tech Startup

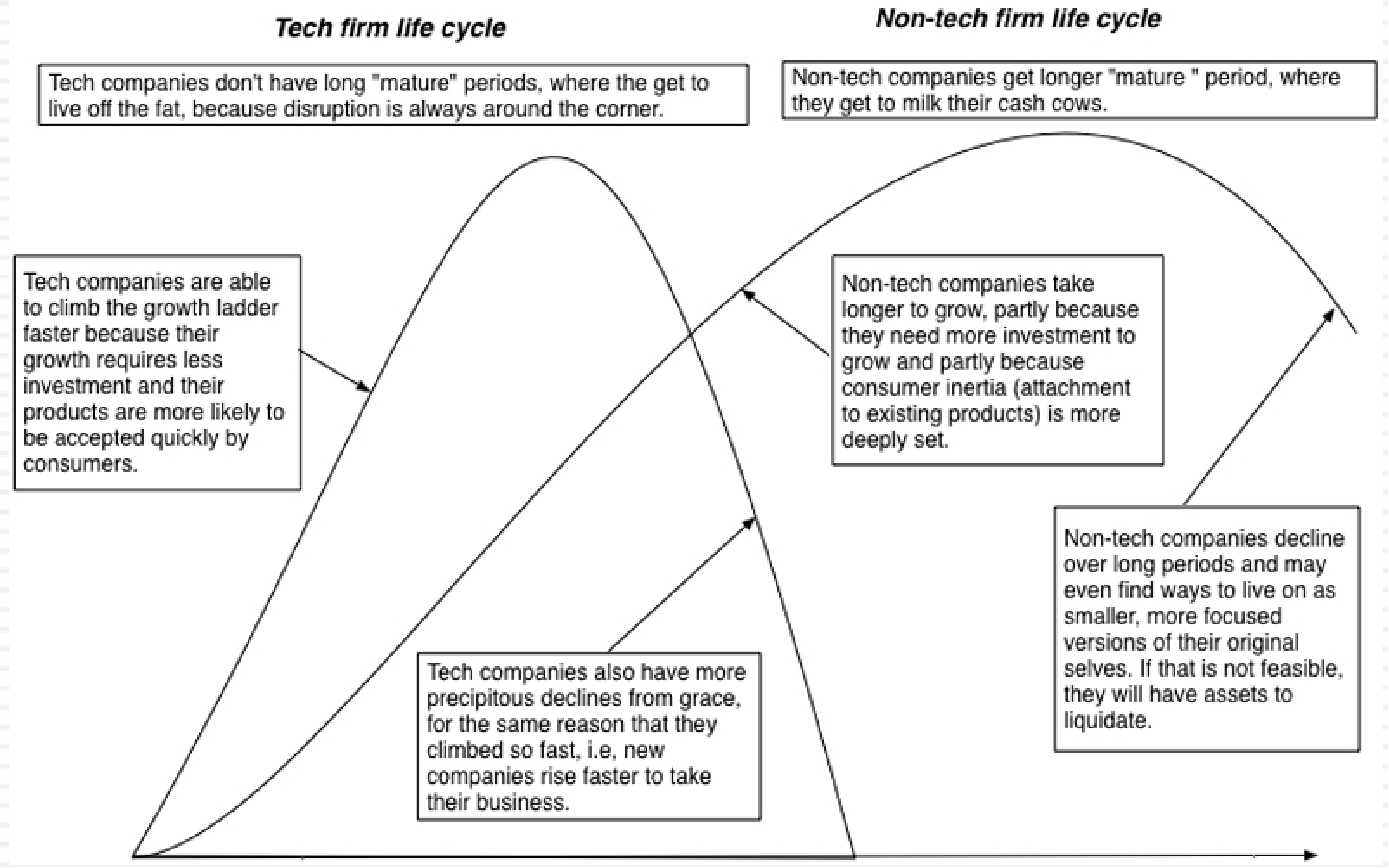
- ❑ Primarily focused on a technology or software product

- ❑ Tech startups are often major disruptors in traditional industries.

  - ✓ High growth potential and innovative solutions that disrupt existing markets or create entirely new ones.
  - ✓ They introduce innovative technologies that can drastically change how businesses operate or how goods and services are delivered.

# Tech firm life cycle Vs Non-Tech firm life cycle

Source: NYU



# Recap

1.1 Importance of knowing BLC

1.2 Stages of BLC

1.3 Decision considerations at each stage

1.4 Issues in traditional BLC categorization and focus

1.5 BLC for small businesses

# Questions!!!!

30